Lecture 1: Partnership Law

1. Definition of Partnership: A partnership is a relationship where two or more people agree to share the profits from a business, which can be managed by all or any of them acting for all.

2. Essential Elements of a Partnership

1. **Agreement**: A partnership arises from an agreement between two or more persons, either written, oral, or implied. No agreement = no partnership**.**
2. **Sharing of Profits**: A business must be formed for profit-sharing. Business includes any trade, profession, or occupation. For example, a music club is not a partnership unless it's for profit-making.
3. **Business Conducted by All or Any One Acting for All**: Every partner has the authority to act on behalf of all partners, binding them by their actions. Partners act as agents and principals of each other.

3. Types of Partnerships

1. **Partnership-at-Will**: No fixed term; can be dissolved anytime by any partner.
2. **Particular Partnership**: Formed for a specific task or business venture, dissolved once the purpose is achieved.
3. **Limited Partnership**: Some partners have limited liability, while at least one has unlimited liability.

4. Types of Partners

1. **Active Partner**: Actively participates in managing the business.
2. **Sleeping Partner**: Invests money but does not manage the business.
3. **Nominal Partner**: Lends their name but doesn't manage or invest money.
4. **Partner by Estoppel**: Treated as a partner because of their actions, even though they aren't.
5. **Minor Partner**: Under 18, shares profits but isn't liable for losses.

5. Rights and Duties of Partners

A. **General Rules**
   1. Partners must act in good faith towards each other.
   2. Partners must indemnify the firm for any loss caused by their fraud.

B. **Conduct of the Business**
   1. Every partner has the right to participate in management.
   2. Each partner is bound to attend diligently to their duties.
   3. Disagreements over business matters are decided by majority vote.
   4. Every partner has the right to inspect and copy business records.

C. **Mutual Rights and Duties**
   1. No partner is entitled to remuneration for working in the business.
   2. Partners share profits equally and contribute to losses equally.
   3. Interest on capital is payable from the profits.
   4. Partners who make extra payments for the business are entitled to interest at 6% per annum.
   5. The firm indemnifies partners for actions done in the firm's interest.

D. **Secret Profits**
   1. Any profits made by a partner from the firm's business or property must be shared with the firm.

2. If a partner competes with the firm, they must share the profits from that business.

6. Reconstitution of a Firm

1. **Reconstitution** occurs when:
   a. A new partner joins.
   b. A partner retires, becomes insolvent, or is expelled.
   c. A partner transfers their share to an outsider.
2. **Rights and Liabilities** of the incoming and outgoing partners must be clearly defined.
3. **Introduction of a New Partner:** a new partner's share of profits is fixed when they join. They are only liable for debts incurred after their admission.
4. **Retirement of a Partner**
   a) A partner can retire with the consent of all partners, or by giving notice.
   b) The retiring partner is liable for actions until public notice of their retirement is given.
5. **Expulsion of a Partner**
   A partner can be expelled only if the partnership agreemen**t** allows for it under certain conditions.

7. Rights and Liabilities of Partners

1. **Insolvency of a Partner**
   a) If the firm dissolves, the assets are collected, and debts are paid.
   b) If the firm doesn't dissolve, the insolvent partner's share is transferred to the **official receiver**. Their estate isn't responsible for actions after insolvency.

2. **Death of a Partner**
   a) Death typically dissolves the firm.
   b) The firm can continue if all partners agree. The deceased partner's estate isn't liable after their death.
3. **Transfer of a Partner's Interest:** partner can transfer their share to someone else, but the new person has limited rights in the firm.
4. **Sub-partnership:** a partner transfers their share to another person, this person is a **sub-partner**. The sub-partner has limited rights.

8. Dissolution of Firms

1. **Grounds for Dissolution**
   1. **By Agreement**: Partners can dissolve the firm at any time with mutual consent.
   2. **By Notice**: In a partnership-at-will, any partner can give notice to dissolve.
   3. **On Certain Contingencies**:
      a) The partnership was for a fixed term and the term has ended.
      b) Completion of business or death of a partner.
      c) Adjudication of a partner as insolvent.
   4. **Compulsory Dissolution**
      a) If all partners (or all but one) are declared insolvent.
      b) If an event makes the firm's business unlawful.

5. **Dissolution by Court**
    a) If a partner becomes insane or incapable.
    b) If a partner **breaches** the partnership agreement.

Lecture 2: Company Law

1. Company Law: The term "Company" refers to an association of people formed for a common purpose and registered under the law relating to companies, specifically under Section 3(1)(i) of the Companies Act, 1956.

2. Types of Companies

1. **One-Man Company or Family Company** Even when a single person holds most of the shares, the company has a separate legal personality from the owner.
2. **Statutory Company** Formed by an Act of the Legislature for a specific purpose (e.g., a Statutory Corporation).
3. **Chartered Company**: Previously formed by Royal Charter for specific purposes (e.g., East India Company).
4. **Registered Company**: A company registered under the Companies Act and issued a Certificate of Incorporation by the Registrar.
5. **Unregistered Company**: A company or association that is not registered under the Companies Act.

3. Essential Features of a Company

1. **Registration**: A company comes into existence only after registration under the Companies Act, except for Statutory Corporations which are formed by the Act itself.
2. **Voluntary Association**: Formed by the choice and consent of the members.
3. **Legal Personality**: A company is a separate legal entity from its members, even in the case of a one-man company.
4. **Contractual Capacity**: A shareholder cannot bind the company individually. The company can enter into contracts and employ individuals.
5. **Management**: Managed by the Board of Directors or other appointed managers as per the Companies Act and Articles of Association.
6. **Permanent Existence**: A company has perpetual succession; it exists even if shareholders die or become insolvent.
7. **Registered Office**: A company must have a registered office.
8. **Common Seal**: A company must have a common seal for official purposes.
9. **Limited Liability**: Shareholders' liabilities are limited to the amount unpaid on their shares.
10. **Transferability**: Shareholders can transfer shares, and the transferee becomes a member.
11. **Statutory Obligations**: A company must comply with various statutory requirements, such as filing balance sheets and maintaining proper records.
12. **Not a Citizen**: A company is an artificial person, not a natural person, and thus is not a citizen but may have domicile.

13. **No Fundamental Rights**: A company has no fundamental rights, but it can challenge laws if they violate the fundamental rights of citizens.
14. **Social Objective**: A company is a social institution with duties towards the community, economy, and workers.
15. **Centrally Administered**: The administration of company law is under the Central Government.

5. Company vs. Partnership

Basis of Comparison	Company	Partnership
Legal Status	A separate legal entity distinct from its owners	Not a separate legal entity; partners and firm are one
Formation	Formed by registration under Companies Act	Formed by agreement between partners (oral or written)
Liability	Limited liability of shareholders	Unlimited liability of partners
Management	Managed by directors elected by shareholders	Managed by partners themselves
Minimum Members	Minimum 2 members (private company)	Minimum 2 partners
Maximum Members	200 (private) or unlimited (public)	Generally 20 (10 for banking business)
Transfer of Interest	Shares can be transferred (with restrictions in private companies)	Interest cannot be transferred without consent of other partners
Perpetual Existence	Continues to exist regardless of changes in ownership	Dissolves on death, retirement, or insolvency of a partner
Audit Requirement	Compulsory statutory audit	Audit is not mandatory unless turnover exceeds limits

5. Types of Companies

1. **Private Company**:
   (a) Restricts share transfer.
   (b) Limits members to 50 (excluding employees).
   (c) Prohibits public invitations to subscribe for shares or debentures.
2. **Public Company**: Companies other than private companies, which may be limited by shares, guarantee, or unlimited companies.

6. Different Types of Public and Private Companies

1. **Company Limited by Shares**: Members are liable for the nominal value of their shares.

2. **Company Limited by Guarantee**: Members promise to pay a fixed sum in case of liquidation.
3. **Unlimited Company**: Shareholders have unlimited liability, like in partnerships.

7. Holding and Subsidiary Companies

1. A holding company controls another company's policies either through shareholding or Board composition.
2. **Conditions for Subsidiary**:
   (a) The parent company controls the Board or holds more than half the shares.
   (b) If a subsidiary is itself a subsidiary of another company.

8. Differences Between Private and Public Companies

Basis of Comparison	Private Company	Public Company
Ownership	Owned by a small group of people (e.g., founders, family)	Owned by the general public through shares
Number of Shareholders	Minimum 2, Maximum 200	Minimum 7, no maximum limit
Share Trading	Shares are not traded on stock exchanges	Shares are traded on stock exchanges
Regulations	Fewer regulatory requirements	Heavily regulated by government bodies like the SEC
Capital Raising	Limited options (e.g., private investors, banks)	Can raise large capital from public investors
Disclosure Requirements	Not required to disclose financials publicly	Must publish financial statements and annual reports
Name Requirement	Must end with "Private Limited" (e.g., XYZ Pvt. Ltd.)	Must end with "Limited" or "Ltd." (e.g., XYZ Ltd.)
Control & Flexibility	More control and flexibility in decision-making	Less flexibility; decisions often influenced by shareholders
Initial Public Offering	Cannot offer shares to the public	Can issue an IPO to raise funds from the public

9. Conversion of Private Company to Public Company

1. **By Resolution**: A private company can become public by passing a special resolution to remove the restrictions on the number of members, share transfer, and public invitations, and filing a prospectus.
2. **By Default**: A private company becomes public if it fails to follow the restrictions, or if over 25% of the paid-up share capital is held by corporate bodies.

10. Government Company: A Government Company is one where the Central or State Government holds 51% or more of the paid-up capital. A subsidiary of such a company is also considered a Government Company.

Lecture 3: Memorandum and Articles of Association

The first step in forming a company is creating the Memorandum of Association and the Articles of Association. These documents must be filed when applying for company registration.

2. Definitions of Memorandum and Articles

A. **Memorandum of Association**: This document sets out the basic rules of the company, such as its objectives, capital structure, and liability of members. It defines what the company can do and its purpose.

B. **Articles of Association**: This document contains the internal rules for managing the company. It should not conflict with the Memorandum or the Companies Act.

3. Key Differences Between the Memorandum and Articles

a. The memorandum defines the company's purpose and structure, while the articles set the rules for its internal management.
b. Any article that conflicts with the memorandum is invalid.
c. The articles can be easily changed, but the memorandum requires a formal process to be altered.

4. Contents of the Memorandum

The Memorandum must include:

1. **Company Name**: The word 'limited' for a public company and "private limited" for a private company.
2. **Registered Office**: The state where the office is located.
3. **Company's Objectives**: What the company aims to do and the regions it will operate in.
4. **Liability of Members**: Whether limited by shares, guarantee, or unlimited.
5. **If the company has share capital:**
   (a) The amount of share capital and how it's divided into shares.
   (b) Each subscriber must take at least one share.
   (c) Subscribers must write how many shares they take.

5. Company Name Rules

1. A company can't use a name already taken by another company.
2. The name must not be undesirable as per the Central Government.

6. Contents of the Articles of Association

1. The Articles manage the company's internal affairs.
2. Companies must file Articles upon registration. If not, Table A applies.
3. Private Companies must include specific restrictions, like limiting membership to 50 and restricting share transfers.
4. Guarantee Companies must specify the number of members.
5. Unlimited Companies must specify both the number of members and share capital.

7. Alteration of the Memorandum

1. **Changing the Company Name**: A company can change its name by special resolution with Central Government approval. If the name matches or is too similar to another company's, it must be changed. After changing the name, the company receives a new Certificate of Incorporation.

2. **Changing the Object Clause**: The object clause can be changed to:
   (a) Improve business efficiency.
   (b) Use better means to achieve goals.
   (c) Expand or change the area of operations.
   (d) Combine with other businesses.
   (e) Sell or dispose of the company's business or assets.
   To change the object clause, the company must:
   (i) Pass a special resolution.
   (ii) File a petition in Court for approval.
   (iii) Inform all affected parties.
   (iv) Get creditor consent or settle their claims.
   (v) Notify the Registrar of Companies after the Court approves the change.

8. Alteration of the Articles of Association

1. Changes cannot violate the Companies Act or the Memorandum.
2. Changes must be legal and not increase the liability of members without their consent.
3. Some changes require Central Government approval.

Lecture 4: Winding Up of Companies

Winding up refers to the process of closing a company by selling its assets, paying off its liabilities, and distributing any remaining assets to shareholders.

1. Modes of Winding Up

There are three ways to wind up a company:

1. Compulsory winding up by the court.
2. Voluntary winding up by the members.
3. Voluntary winding up under court supervision.

2. Compulsory Winding Up

This happens when the court orders the company to be wound up.
Grounds for compulsory winding up:

1. If the company decides by special resolution to be wound up by the court.
2. If the company fails to deliver a statutory report or hold a statutory meeting. The court may instead order the meeting and filing of the report.
3. If the company doesn't start its business within a year or suspends business for a year.
4. If the number of members falls below seven in a public company or below two in a private company.
5. If the company is unable to pay its debts.
6. If the court thinks it is just and equitable to wind up the company.

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4. Voluntary Winding Up

In voluntary winding up, the members of the company choose to wind it up without court intervention.
Conditions for voluntary winding up:

1. By ordinary resolution in cases where the company's duration has ended or if specified events in the articles have occurred.
2. By special resolution in other cases.
   Once the resolution is passed, the public must be notified by an advertisement. The winding up starts when the resolution is passed.

5. Differences Between Members' Voluntary and Creditors' Voluntary Winding Up

1. Members' voluntary winding up applies to solvent companies with a solvency declaration. Creditors' voluntary winding up applies to insolvent companies.
2. In members' voluntary winding up, no creditors' meeting is required. In creditors' voluntary winding up, a meeting must follow the members' meeting.
3. In members' voluntary winding up, the liquidator is chosen by members. In creditors' voluntary winding up, both members and creditors choose a liquidator.
4. In members' voluntary winding up, there is no Committee of Inspection, but in creditors' winding up, there may be one.

6. Winding Up Subject to the Supervision of Court

After a company passes a voluntary winding up resolution, the court may supervise the process to protect creditors and shareholders.

Effects of court supervision:

1. The court gains control over legal actions against the company.
2. The court can appoint or remove liquidators as needed.
3. The liquidator has the same powers as in voluntary winding up, but the court can modify these powers.

7. Trade Union: An organization that manages relations between workers, employers, or both, and can regulate trade practices. It can be temporary or permanent and may include multiple unions.8. The Payment of Wages

8. Payment of Wages: Wages are the money paid to employees for their work, including salary and bonuses, but excluding accommodation, medical costs, and pension contributions. Employers are responsible for paying wages, with some cases involving other appointed individuals.

9. Other Acts Relating to Industries

Wages Exclusions: Wages do not include:

a. Value of housing, utilities, medical care, or services excluded by the State Government.
b. Employer's contribution to pension or provident funds.
c. Travel allowances or concessions.
d. Special expenses due to the nature of the job.
e. Gratuity paid on discharge.

Who is Responsible for Payment? The employer is responsible for paying wages. In certain cases, the following are also responsible:

A. Factory manager.
B. Supervisor in industrial establishments.
C. Nominated person for local railway areas.

Wage Periods: The responsible person sets the wage period, which cannot exceed one month.

10. Patents: Patents protect inventions and discoveries, giving the creator exclusive rights for up to 20 years. They are granted based on criteria like novelty, usefulness, and originality.

11. Trademarks: Trademarks protect business names, logos, and other brand identifiers. They prevent others from using similar marks that could confuse customers.

12. Copyrights: Copyrights protect original works like books, songs, and movies. Copyright is automatic as soon as the work is created, either physically or digitally.